



BITE Cover story BUDGET ASSESSMENT

since 1999-2000. There have been only two Budgets that have attempted to clean up the tax structure. The first was Manmohan Singh's first budget in 1991 and the second was Yashwant Sinha's in 1999.

Roy: Budget making is a political process. There will be some political content in that. But growth can only be sustained at this point of time if you are politically savvy. And that way if you look at this Budget, other than the day punters nobody else is that unhappy. Almost all the stakeholders have been taken care of. For the first time you will find that in a number of taxes the irritants have been removed. In at least seven or eight cases they have been struck out.

Bery: There is a debate on in the world on stimulus and short-term revival of growth that Pranabda has articulated. We have had stimulus in place when the meltdown happened. So the question shifts to the quality of the stimulus. There is a debate whether revival is best served by expenditure or tax cuts that put money directly in the consumer's pocket. You certainly have had tax relief as a way of stimulating demand. But, is it going to work? I think it will work, because the middle-class and lower middle-class households are liquidity constrained and they will go out. On that side short-term stimulus is actually reasonably well balanced between things that are likely to stimulate expenditure in relevant time line because the capacity of this Government to actually spend on things that it is meant to, is very important.

WHAT ABOUT JOB LOSSES?

Does it address the worst-hit sectors?

Ranade: Only very slightly. One of the big achievements was possibly resisting the pressures of the various lobbies. So, in terms of addressing, specifically the crisis-hit sectors explicitly, I can only see tax holiday for IT and BPO extended by one year, which is hardly anything. But one has to remember the broader thing. This crisis was not manufactured in India and to that extent we have to wait for the global economic



BANDEEP SINGH

“In the short run, this is a good Budget in terms of growth and inclusive growth.”

MAHENDRA DEV, *Chairman, CACP*

outlook to improve, because there is only so much that you can do domestically to counter the very severe global downturn. Moreover, the way to stimulate the local economy is not necessarily by focussing on government spending but increasingly on consumer spending. If domestic demand can replace some of the export demand such as in textiles, surely it is an indirect way of addressing the needs of that sector. Similarly, in housing, infrastructure and rural housing, hopefully some of the jobs will come back.

Roy: Partially there has been some attempt to help the information technology sector. Plus other measures, like scrapping of FBT, will help. Removal of FBT also helps the Fast Moving Consumer Goods (FMCG) sector. While there is a lot of travel, sales promotions and such things, these are the sectors that this tax affected the most.

Bery: I would put it slightly differently. This is a crisis which is affecting medium and small industries in urban areas. First, what is praiseworthy is that the Congress is now beginning to accept that *aam aadmi* also exists in cities and that is an important conceptual change. My impression is that they are trying to bring something like NREGA. Because the question of what constitutes temporary unemployment insurance for laidoff workers is an important issue. One hears stories about gems and

MANOHAR DEODHAR



“It could be the Budget of any of the earlier UPA years. The one big thing is focus on spending.”

AJIT RANADE, *Chief Economist, Aditya Birla Group*